

Do you use sentiment indicators in your trading?

CNBC is my sentiment indicator. [He laughs loudly.] It's the best sentiment indicator, and it's free.

How do you judge sentiment?

I judge it based on how the stock moves. If everyone is bearish because that's what CNBC says, that is public sentiment, but if the stock gaps higher after a conference call, that's the market sentiment. What matters is the market sentiment, not public sentiment. I try to drown out public sentiment, except if public sentiment is so heavily one-sided . . .

How do you judge that?

You watch CNBC.

What is your opinion on stop orders?

They are for fools.

Do you want to expound?

If you want to ensure that you get the low of the day, use a stop. People tend to place their stops near the same price level—usually at a new recent low. If the low for a stock during the past year has been 30, there will be a lot of stops placed just below 30. If the market trades down to 30, the stops will be hit, and since there will usually be a lack of buy orders at the new lows, prices will gap lower. If we like a stock, we will sometimes try to place our buy orders one-half point below where we believe the stops are.

If you have a stop order in the market, it means that one price will dictate the outcome. That is a bad concept. You can, however, use mental stops, which are essentially evaluation points. If the stock is down, say, 15 percent, you should evaluate why it is down 15 percent, but you shouldn't automatically sell it there. Stop orders may be okay for some public investors, but not for professionals. Stop orders are an outrageously poor way to manage risk.

What is the right way to manage risk?

The right way to manage risk is to monitor your positions and to have a mental point at which you reevaluate the position. The amount of room